

coincidence that since Jacobs took control of XPO in September of 2011, the compound annual return through year-end 2021 was 36%.

The main qualities we are looking for in founders are rational thinking and intellectual honesty. We get particularly interested when clarity of mind is accompanied by leadership and operating skills and a clear framework for allocating capital to build business value as measured by cash flow per share.

During our summers at Penn, we worked for the noted value investor Bob Robotti, who would come to be both a mentor and a friend. We are eternally grateful and indebted to Bob. He gave us an office, spent as much time teaching us as we could absorb, and always set an example of extraordinary integrity. We also had so much fun traveling around the world with him visiting companies. Bob has hosted many investment partnerships in his office over the years; each of them had a slightly different strategy, but all were heavily influenced by the intellectual roots laid down in *Security Analysis*. Naturally, we studied many of the companies that Bob had owned for years. He knew virtually limitless details on how these businesses worked and the economics of the eco-systems in which they operated, which gave him a nuanced understanding of how the competitive dynamics of an industry were likely to evolve and affect future returns.

Robotti's approach led us to study and invest in many different types of businesses early on. Like so many influenced by Graham and Dodd, we began by focusing on buying companies with balance sheets trading at a discount, with downside protection supported by hard asset value. We owned shares in companies operating in offshore oil drilling, oil and gas services, insurance, and shipping, as well as a housing distribution businesses coming out of the other side of the 2008 financial crisis post their restructuring. These businesses often relied on large amounts of financing, had cyclical end markets, and had customers with substantial bargaining power. While we could